



Insurance Comparison Sheet

Insurance is one of the most important parts of financial planning because it protects individuals and families from unexpected financial risks. However, many people become confused while choosing insurance products because different plans offer different combinations of protection, savings, and investment features. Some insurance plans focus mainly on financial protection, while others combine insurance with investment benefits. Understanding the difference between various insurance products helps individuals make smarter financial decisions and avoid buying unsuitable policies.

This guide compares four major types of insurance products:

- Term Insurance
- Health Insurance
- ULIP (Unit Linked Insurance Plan)
- Endowment Plans

1. Term Insurance

Term insurance is the purest and simplest form of life insurance. It provides financial protection to the family if the insured person dies during the policy period.

The biggest advantage of term insurance is high coverage at a low premium cost. For example, a healthy young person may get ₹1 crore life cover at a relatively affordable premium.

Term insurance does not provide maturity benefits. If the policyholder survives the policy term, no amount is paid back unless it is a return-of-premium plan.

Main Features:

- Pure protection plan
- High life coverage
- Low premium
- No investment component
- Financial security for family

Suitable For:

- Salaried employees
- Young earning individuals
- Parents with dependents
- People seeking affordable life cover

Advantages:

- Affordable premium
- Large coverage amount
- Simple structure
- Tax benefits under Section 80C

Disadvantages:

- No maturity amount
- No wealth creation feature

Term insurance is considered one of the most important financial protection tools for families.

2. Health Insurance

Health insurance covers medical expenses such as hospitalization, surgeries, medicines, and emergency treatments. Rising healthcare costs make health insurance extremely important in today's world.

Without health insurance, a major medical emergency can destroy years of savings. Health insurance protects individuals and families from financial stress during medical situations.

Main Features:

- Covers hospitalization expenses
- Cashless treatment options
- Protection against medical inflation
- Family floater options available

Suitable For:

- Every individual and family
- Senior citizens
- Parents with children
- Self-employed professionals

Advantages:

- Financial protection during medical emergencies
- Tax benefits under Section 80D
- Access to quality healthcare
- Reduces savings burden

Disadvantages:

- Waiting periods for some diseases
- Certain exclusions and conditions
- Premium increases with age

Individuals should compare claim settlement ratio, network hospitals, waiting periods, and coverage limits before selecting a health insurance plan.

3. ULIP (Unit Linked Insurance Plan)

ULIP stands for Unit Linked Insurance Plan. It combines insurance and investment into a single product. A portion of the premium goes toward life insurance, while the remaining amount is invested in equity or debt funds.

ULIPs are market-linked products, meaning returns depend on stock market performance.

Main Features:

- Insurance + investment combination
- Market-linked returns
- Long-term wealth creation potential
- Fund switching option

Suitable For:

- Long-term investors
- Individuals comfortable with market risk
- People seeking combined investment and insurance

Advantages:

- Wealth creation opportunity
- Insurance protection
- Tax benefits
- Flexible investment allocation

Disadvantages:

- Higher charges and fees
- Complex structure
- Returns depend on market performance
- Lower transparency compared to mutual funds

Many financial experts believe buying separate term insurance and mutual funds is usually more efficient than combining both in a ULIP.

4. Endowment Plans

Endowment plans are traditional insurance products that combine life insurance with guaranteed savings. These plans provide maturity benefits if the policyholder survives the policy term.

A part of the premium goes toward insurance coverage, while the remaining amount is invested by the insurance company.

Main Features:

- Insurance + guaranteed savings
- Fixed maturity amount
- Lower risk
- Long-term disciplined savings

Suitable For:

- Conservative investors
- Risk-averse individuals
- People preferring guaranteed returns

Advantages:

- Guaranteed maturity benefit
- Financial discipline
- Insurance protection
- Stable returns

Disadvantages:

- Lower returns compared to equity investments
- Higher premiums
- Less flexibility
- Limited wealth creation potential

Endowment plans are generally preferred by people who prioritize safety and guaranteed returns over higher investment growth.

Feature	Term Insurance	Health Insurance	ULIP	Endowment Plan
Main Purpose	Life Protection	Medical Protection	Insurance + Investment	Insurance + Savings
Investment Component	No	No	Yes	Yes
Risk Level	Low	Low	Moderate to High	Low
Premium Cost	Low	Moderate	Higher	Higher
Returns Potential	No Returns	No Returns	Market Linked	Guaranteed
Tax Benefits	Yes	Yes	Yes	Yes
Wealth Creation	No	No	Yes	Limited
Best Suitable For	Family Protection	Medical Safety	Long-Term Investors	Conservative Investors

Final Conclusion

Choosing the right insurance product depends on financial goals, income level, risk appetite, and family responsibilities.

- Term insurance is best for affordable life protection.
- Health insurance is essential for medical security.
- ULIPs may suit investors looking for market-linked growth with insurance.
- Endowment plans are suitable for conservative individuals seeking guaranteed savings.

Financial experts usually recommend separating insurance and investments for better transparency and flexibility. A combination of term insurance, health insurance, and disciplined investing often provides stronger long-term financial security.